business activities of a bank that generally do not involve booking assets (loans) and taking deposits. Off-balance sheet activities normally generate fees, but produce liabilities or assets that are deferred or contingent and thus, do not appear on the institution's balance sheet until and unless they become actual assets or liabilities". For example, a bank guarantee loan availed by someone from some other financial institution. Actually this is not the liability of the bank. But if the person who availed the loan fails to repay, the bank becomes accountable and the loan becomes the liability of bank. These types of liabilities and assets are called off balance sheet exposure.

Financial Inclusion

Financial inclusion means including the people, hitherto excluded, into the financial system. The inclusion is to be done on both supplying end (saving account) and receiving end (loans from financial institutions). Towards this end the RBI started "No-frills account" drive. The banks were requested to open "No-frills account" with low or minimum balance.

No-frills mean, basic features alone are included without anything unnecessary especially things added to make something more attractive or comfortable.[9] No-frills account refers to accounts without premium services that are charged some amount. This reduces the cost of holding accounts. It enables even poor people to hold bank accounts.

In place of No-frill accounts Basic Savings Bank Deposit Account (BSBDA) was introduced. This account shall not have the requirement of any minimum balance. No charge will be levied for non-operation/activation of in-operative 'Basic Savings Bank Deposit Account'. These accounts are now opened under Prime Minister Jan Dhan Yojana with the aim of opening at least two accounts per family.